PURPOSE CAPITAL

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CODE · COMPLIANCE

Internal Control and Compliance Charter

Reference **PC-COD-003** · Version **0.9** DRAFT

Owner	Head of Compliance and Internal Control (RCCI)
Next review	12 months after adoption
Confidentiality	Internal

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Document control sheet

Courtesy translation — the French version prevails.

Reference	PC-COD-003	**Version**	0.9 — Draft
Title	Internal Control and Compliance Charter		
Type · domain	Code · Compliance	**Confidentiality**	Internal
Owner	Head of Compliance and Internal Control (RCCI)		
Distribution	All staff members; directors; independent review provider; statutory auditors		
Effective date	On adoption	**Next review**	12 months after adoption

APPROVAL WORKFLOW

Step	Function	Electronic sign-off	Handwritten signature
Drafting	Head of Compliance and Internal Control (RCCI)		
Review	Chief Executive Officer		Date and signature
Approval	Board of Directors		Date and signature

REVISION HISTORY

Version	Date	Purpose	By
0.9	20 October 2026	Formatting: adoption dates and signatures moved to the document control sheet	Compliance Officer
0.9	19 October 2026	Initial draft submitted to the Board of Directors	Compliance Officer

REFERENCE TEXTS

COSUMAF General Regulation of 23 May 2023 Official text · cosumaf.org	Risk-based approach, risk map and annual internal control report submitted before 31 March (Art. 5); compliance and internal control function subject to a professional card (Art. 13 and 14); AML/CFT officer (Art. 112); penalty of FCFA 250,000 per day of late submission (Art. 32)
Regulation No. 01/22/CEMAC/UMAC/CM/COSUMAF of 21 July 2022 Official page · cosumaf.org	Organisation and obligations of intermediaries on the regional financial market
Regulation No. 02/24/CEMAC/UMAC/CM of 20 December 2024 Overview · droitmediasfinance.com	Internal anti-money laundering framework, control and training
COBAC — Indicative template for the annual report on the conduct of internal control and the measurement and monitoring of risks Official text · beac.int	Sub-regional practice: outline of the annual report on internal control and risk monitoring of credit institutions
IOSCO — Compliance Function at Market Intermediaries (March 2006) Official text · iosco.org	International good practice: mission, independence, resources and evaluation of the compliance function of intermediaries

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Basel Committee — Compliance and the compliance function in banks (2005) Official text · bis.org	International good practice: principles of the compliance function
COSO — Internal Control — Integrated Framework (2013)	International framework: five components of internal control
IIA — The IIA's Three Lines Model (2020)	International framework: Three Lines Model

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Title I — General provisions

Article 1 — Purpose

This charter sets out how Purpose Capital S.A. (the "Company") ensures, every day, that it does what it says, that it complies with the regulations and that it protects its clients. It lays down the rules for internal control and compliance: who does what, with what rights, using what method, and how this is reported.

It applies to all staff members, to senior managers and, as far as they are concerned, to the Company's service providers.

Article 2 — Why this charter

Internal control is not a formality. It is a condition of the licence: COSUMAF expects every brokerage firm to have an operational framework from the moment it is licensed, a qualified and authorised officer in charge, and reports submitted on time. Firms in the sub-region have lost their licence for failing to do so.

It is also what allows a small team to work quickly without making mistakes: clear rules, simple and regular controls, and someone whose job is to look at what others do not have time to see.

Article 3 — Definitions

- **Internal control**: all the rules, procedures and controls that provide reasonable assurance that transactions are carried out correctly, that risks are under control, that information is reliable and that the regulations are complied with.
- **Compliance**: adherence to the regulations, market rules, contractual commitments and the Company's internal rules.
- **Compliance risk**: the risk of sanctions, financial loss or reputational damage resulting from failure to comply with these rules.
- **First-level control**: a control carried out by the person performing the transaction or by a colleague, at the time it is performed (check, four-eyes review, reconciliation).
- **Second-level control**: a control carried out by the RCCI, after the event, to verify that first-level controls exist and are working.
- **Periodic control**: an independent assessment of the entire framework, carried out by a person who takes no part in it.
- **Finding**: a gap identified during a control between what is done and what should be done.
- **Recommendation**: an action required to remedy a finding, with an owner and a deadline.

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Title II — Principles

Article 4 — Five principles

The framework rests on five principles, adapted from international frameworks:

1. **An environment that believes in it**: senior managers lead by example, responsibilities are set out in writing, and no one is penalised for reporting a problem.
2. **Knowing one's risks**: controls are focused first where risks are highest, based on the risk map kept under the Risk Management Policy.
3. **Controls built into the work**: each procedure states who checks what, when, and how evidence is kept.
4. **Information that flows**: incidents, findings and regulatory changes are known to those who must act.
5. **A framework that monitors itself**: the controls are themselves controlled, and deficiencies are corrected within monitored deadlines.

Article 5 — Proportionality

The Company is a small organisation. The framework is proportionate: few controls, but well chosen, actually performed and documented. A control that there is no time to perform is not a control; it is removed or replaced.

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Title III — Organisation

Article 6 — Three lines

Line	Who	Role
First line	Each staff member and each department, including the Chief Executive Officer for the operations they handle	Carries out transactions and first-level controls; reports incidents
Second line	RCCI	Advises, defines the methodology, controls the controls, oversees compliance and AML/CFT, reports
Third line	Independent review provider, appointed by the Board of Directors	Assesses the entire framework each year, including the work of the RCCI

The statutory auditors, while not part of the framework, support it with regard to accounting and financial information.

Article 7 — Roles of the governing bodies and functions

Body or function	Responsibilities
Board of Directors	Approves the charter; ensures that the framework is effective and adequately resourced; reviews the reports of the RCCI and of the independent review; is informed of the appointment and departure of the RCCI; appoints the independent review provider
Chairman of the Board of Directors	Receives alerts directly from the RCCI; meets the RCCI without Executive Management being present at least once a year
Audit and risk committee (if established)	Prepares the Board's work on internal control; hears the RCCI and the independent review provider
Chief Executive Officer	Accountable to the Board for the framework; provides it with resources; implements recommendations; guarantees the independence of the RCCI
Risk and compliance committee	Monthly meeting provided for by the Risk Management Policy, which also sits as the compliance committee: reviews controls, findings, incidents, complaints and the follow-up of recommendations; its decisions are recorded
RCCI	Title IV of this charter
Staff members	Apply the procedures; perform and document first-level controls; report incidents and breaches

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Title IV — The Head of Compliance and Internal Control

Article 8 — Mission

The RCCI has four duties:

1. **Advise**: the RCCI gives a written opinion before any new product, new activity, new significant service provider, new contract template and any marketing communication; the RCCI answers staff members' questions on the regulations.
2. **Monitor**: the RCCI follows developments in CEMAC, COSUMAF and BVMAC regulations, informs the persons concerned and has the procedures updated.
3. **Control**: the RCCI draws up and carries out the annual control plan, follows up recommendations and keeps the compliance registers.
4. **Report**: to the Chief Executive Officer, to the Board of Directors and, where required by the regulations, to COSUMAF.

The RCCI also performs the risk management and AML/CFT officer functions, in accordance with the corresponding policies, and maintains the document repository.

Article 9 — Appointment and status

The RCCI is appointed by the Chief Executive Officer after the Board of Directors has been informed. The RCCI must hold the professional card issued by COSUMAF for this function, and have it renewed before it expires.

The RCCI may be removed from office only after the Board of Directors has been informed in advance; the Board may hear the RCCI. The Company informs COSUMAF of any change of RCCI under the conditions laid down by the regulations.

In the event of prolonged absence, the Chief Executive Officer appoints a qualified deputy, after informing the Chairman of the Board; where no internal resource is available, a service provider is used.

Article 10 — Independence

To ensure that the RCCI's judgement remains free:

- the RCCI's remuneration depends neither on turnover, nor on the result of a transaction, nor on the opinions the RCCI gives;
- the RCCI carries out no commercial activity and takes part in no investment decision on behalf of clients;
- the RCCI never controls a task they have performed themselves: if, owing to a lack of staff, the RCCI performs such a task, it is controlled by the Chief Executive Officer and checked during the independent review;
- the RCCI may approach directly, and without referring to anyone, the Chairman of the Board of Directors and, where required by the regulations, COSUMAF;
- the RCCI's opinions are written and kept; a decision taken against the RCCI's opinion is recorded in writing and justified by the person taking it.

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Article 11 — Control of operations handled by the Chief Executive Officer

As long as the Chief Executive Officer personally handles operations, the RCCI controls those operations in the same way as those of any other staff member. Findings concerning the Chief Executive Officer are presented to the risk and compliance committee and, if significant, to the Chairman of the Board of Directors.

Article 12 — Rights

The RCCI has unrestricted and immediate access to all of the Company's documents, systems, premises, records and personnel, as well as to information held by its service providers. The RCCI may question any staff member, who must answer accurately.

The RCCI has the resources needed for the mission: time, tools, training and, with the agreement of the Chief Executive Officer or, in the event of disagreement, of the Chairman of the Board, recourse to external expertise.

No one may obstruct the RCCI's work. Obstruction constitutes gross misconduct under the Code of Conduct.

Article 13 — Duties

The RCCI:

- acts with objectivity, integrity and discretion; the information obtained is used only for the RCCI's mission;
- declares their own conflicts of interest and personal transactions to the Chief Executive Officer, who controls them;
- maintains their competence through at least two days of training per year;
- documents their work in such a way that a third party can understand and re-perform it.

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Title V — Ongoing control

Article 14 — First-level controls

Each Company procedure states the controls to be carried out at the time of the transaction, by whom, and the evidence to be kept. Where staffing levels do not allow a four-eyes review, the procedure provides for an after-the-event control by another person, no later than the following business day.

Key first-level controls include in particular: checking the file before any client onboarding, matching the signed order with the order transmitted, daily reconciliation of clients' cash and securities, and dual signature of payments.

Article 15 — Annual control plan

Before the start of each financial year, the RCCI draws up a control plan using the template in Appendix 1. The plan:

- is based on the risk map: high risks are controlled more frequently;
- covers each major regulatory obligation at least once a year: know your customer, orders and execution, client assets, AML/CFT, conflicts of interest and personal transactions, complaints, submissions to COSUMAF;
- specifies, for each control, the objective, frequency, method and sample.

It is presented to the Chief Executive Officer and to the Board of Directors. It may be amended during the year in the event of an incident or a new risk.

Article 16 — Conduct of a control

Each control gives rise to a control sheet using the template in Appendix 2: objective, sample, result, findings and recommendations. The RCCI presents the findings to the person concerned, who may respond in writing, before finalising them.

Findings are rated:

Rating	Meaning	Remediation deadline
Major	Regulatory breach, risk of loss for a client or for the Company, or failure of a key control	Action plan within 5 business days; remediation within 1 month
Significant	Inadequate control or control applied irregularly	Remediation within 3 months
Minor	Desirable improvement, with no immediate risk	Remediation within 6 months

A major finding is brought without delay to the attention of the Chief Executive Officer and, if it concerns a client or the regulations, of the Chairman of the Board of Directors.

Article 17 — Follow-up of recommendations

The RCCI keeps the recommendations tracking table using the template in Appendix 3. A recommendation is closed only once the RCCI has verified, on the basis of evidence, that it has actually been remedied. Overdue recommendations are presented at each meeting of the risk and compliance committee and, where more than three months overdue, to the Board of Directors.

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Title VI — Periodic control

Article 18 — Annual independent review

Each year, the Board of Directors entrusts a qualified external provider, independent of the Company and its senior managers, with a review of the entire internal control, compliance, risk management and AML/CFT framework. The review also covers the work of the RCCI.

The provider submits its report to the Chairman of the Board of Directors, with a copy to the Chief Executive Officer and to the RCCI. Its recommendations are entered in the tracking table in Appendix 3.

The same provider may not be entrusted with the review for more than three consecutive years, nor have advised the Company, during the year under review, on the framework it is assessing.

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Title VII — Day-to-day compliance

Article 19 — Regulatory monitoring and updates

The RCCI carries out regulatory monitoring: texts issued by CEMAC, COSUMAF, BVMAC, the central securities depository, ANIF and COBAC insofar as they concern the Company, as well as FATF lists. Each new text is the subject of a note stating what changes for the Company, who must act, and by when. The repository documents are updated accordingly.

Article 20 — Prior opinion

The following may not be undertaken without the prior written opinion of the RCCI:

- a new product, service or market, and any new significant service provider;
- a new contract template or an amendment to an existing template;
- any marketing communication or publication intended for the public;
- any change that might require COSUMAF authorisation or notification to COSUMAF: articles of association, share capital, shareholding, senior management, registered office, business plan, statutory auditors.

Article 21 — Training

Each year, the RCCI organises training for all staff members and senior managers on professional ethics, AML/CFT and regulatory developments. Each new staff member receives it within their first month. Attendance is recorded.

Article 22 — Compliance registers

The RCCI keeps, or ensures the keeping of, the following registers: incidents, complaints, conflicts of interest, gifts and benefits, personal transactions, suspicious transaction reports, prior opinions, findings and recommendations, training, and the schedule of regulatory submissions. They are kept for ten years.

Article 23 — Relations with COSUMAF and other authorities

The RCCI is COSUMAF's usual point of contact for compliance matters. The RCCI ensures that each document due is submitted on time, in accordance with the schedule in Appendix 5: late submission exposes the Company to a penalty of FCFA 250,000 per day of delay (General Regulation, Art. 32).

During a COSUMAF inspection, the RCCI coordinates the provision of documents and personnel, and follows up the implementation of the regulator's recommendations in the same way as those of any other control.

Any significant difficulty, any major dispute and any incident affecting clients or the market is brought to COSUMAF's attention without delay, by decision of the Chief Executive Officer or, failing that, of the Chairman of the Board of Directors.

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Title VIII — Reporting

Article 24 — Reports

Recipient	Frequency	Content
Chief Executive Officer and risk and compliance committee	Monthly	Controls performed, findings, incidents, complaints, overdue recommendations, regulatory monitoring
Board of Directors	Quarterly	Dashboard: progress of the control plan, major findings, overdue recommendations, risk indicators, complaints, significant events
Board of Directors, then COSUMAF	Annually, before 31 March	Annual internal control report following the outline in Appendix 4, accompanied by the risk map
Chairman of the Board of Directors	Without delay	Any major finding, any obstruction, any breach by a senior manager

The annual report is presented to the Board of Directors before it is submitted. The Board may attach its observations; it may not alter the findings.

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Title IX — Final provisions

Article 25 — Whistleblowing

Any staff member may report a breach, in good faith, through the whistleblowing arrangements of the Code of Conduct. If the report concerns the RCCI, it is addressed to the Chairman of the Board of Directors.

Article 26 — Relationship with other documents

This charter applies together with the Code of Conduct, the Risk Management Policy, the AML/CFT Policy, the Conflicts of Interest Policy and the Outsourcing Policy. In the event of conflict, the rule that is most protective of clients and most demanding in terms of control applies.

Article 27 — Review and entry into force

The charter is reviewed at least once a year. Any amendment is approved by the Board of Directors.

This charter enters into force on the date of its adoption by the Board of Directors, as shown in the document control sheet.

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